

Industry trends aside, there are fundamental shifts happening in the employee psyche that are feeding into attrition. The largely millennial-GenZ population of the workforce are from financially stable backgrounds enabled by working parents. Plus, for them, job options are aplenty, overall income levels are higher than their parents and dual-income couples are the norm.

projects in domains that interest us.” Sekhar Garisa, CEO of foundit (previously Monster.com) APAC & ME, says as the government’s AI and automation push is likely to create new roles, 40 per cent of employees will need reskilling and 60 per cent will need to upskill to be market-ready in the next five years. In addition, Deloitte’s Sagar has found flexibility—of location, timing or career

to grow in a company today, contracts are getting stricter. “I know people whose contracts have clauses to prevent job-switching. This is based on their past record,” the person says, requesting anonymity.

The gig ecosystem offers another option. “In areas where speciality lies outside the organisation and we want to deploy it for a period, it makes sense to look at alterna-

WITH BOOM-AND-BUST CYCLES BECOMING SHORTER, **UPSKILLING, CLEAR CAREER PATHS AND FLEXIBILITY** RANK HIGHER ON EMPLOYEES’ REQUIREMENTS

56 |

This has created shifts in employee behaviour in two fundamental ways. One, young employees want income that allows them to spend beyond their means. “Youngsters want a ₹1 lakh phone even if their salary is less. When they find their expenditure is not supported by the current income level, they go to the market for a 20-30 per cent salary jump,” says Razdan of HDFC Bank. Anandorup Ghose, Partner, Human Capital Consulting, Deloitte India, says his data shows him that compensation continues to be the single largest factor impacting attrition.

At the same time, skills they can pick up on the job, career growth, and flexibility have become important determinants. “People want to work for companies where their minds will be stretched and they want to do it quickly instead of getting into jobs with high pay but low growth or mundane jobs,” says Bector. A senior manager at HDFC Bank with seven years of experience, requesting anonymity, tells *BT*: “There is a lot of emphasis on learning, training and skilling employees. We are being given training and

choices—to be a big retention lever. Add mental health and wellness in a purpose-driven organisation, and it only sweetens the deal.

EMPLOYEE TENURES have already been shrinking over the years, several studies have shown. After the pandemic, young employees, especially, may be signing on the dotted line with an eye on the exit door. For an organisation, not only does repeated hiring for the same position drive up costs, but a fast-exiting employee also means sunk learning & development investments. But it takes two to tango, points out HDFC Bank’s Razdan: “If I am trying to make a good career for you and your interest is short-term, it is not going to work.” He says all this dead cost will force organisations to reflect on what needs to be done differently to curb inefficiencies.

It’s already beginning to happen. A business analyst with three years’ experience working at pharma giant Cipla says while there are better salary packages, perks and chances

tive employment models,” says Amitav Mukherji, Head of Corporate Human Resources at ITC, but adds that he would never hire a gig worker for a role critical to the value chain such as a brand manager or a product development expert. Just like the employee is saying, ‘I want to leave you in two years’, organisations are also realising they do not need certain skills to be with them permanently, Deloitte’s Ghose says. “Companies fundamentally need to have behavioural skills, while they can transact on technical skills.”

As the workforce becomes a more diverse mix of specialised skills, generic but necessary skills, permanent employees, gig workers, contractual staff, freelancers and consultants, organisations are tasked with rustling up differentiated talent management strategies. As Sagar says: “Organisations have realised that to stay relevant as an employer of choice, they must adapt to the workforce. You can’t expect the workforce to adapt to you.”

Bullseye. **BT**

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